

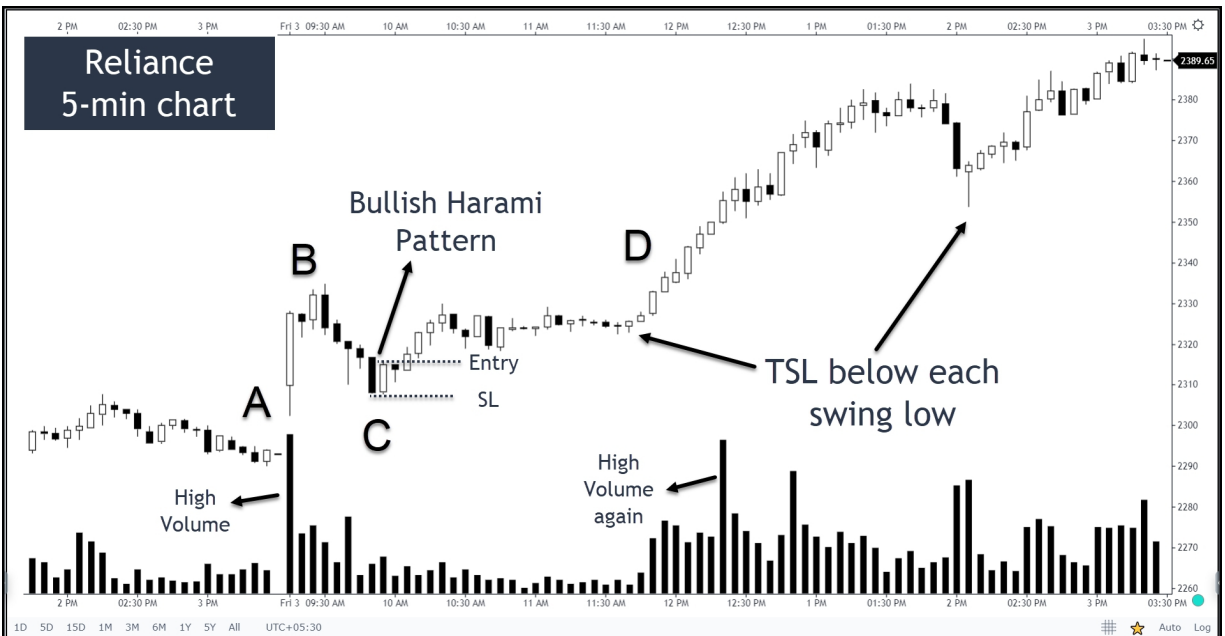


Image 5.24 – ABCD Intraday Trade in Reliance

Typically ABCD patterns start with a strong upside move with a small gap up opening.

When the market opened, Reliance stock rallied upside as buyers bought aggressively from point A and made new highs of the day (point B). Sometimes it is tough to take an open action trade as it has already rallied on the upside, and we can wait for some correction due to profit booking.

After B, traders started booking profits, and also some sellers entered the market.

At point C, the price has found some support. Besides, the price also displayed a 'Bullish Harami' pattern. Hence, a trader can plan a long trade above the bullish harami high, keeping a stop-loss below the low of the bullish harami.

The stock price surged from 2310 (C) to 2340 (D) around 11.55 AM. The chart also shows a good volume spike immediately after this level. It indicates a short-covering rally, and hence we can expect a strong close on the upside. Thus, it is better to trail our SL below every swing low.